25901879 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BVOC (HONOURS) Regular EXAMINATIONS, April 2026

SECOND SEMESTER

Skill Development Components (SDC) - MG2SDCTAH101 - FINANCIAL MANAGEMENT

(2025 ADMISSION ONWARDS)

Duration: 2 hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Answer in one or two sentences

Answer any **10** questions

Each question carries **2** marks

1. What role does Financial Management play in business growth? [K] / [CO1]
2. State two features of an optimum capital structure. [U] / [CO2]
3. What is the significance of fixed assets in business growth? [K] / [CO3]
4. What is payables management? [K] / [CO3]
5. What is net profit ratio? [U] / [CO4]
6. Why is financial control important in a business? [A] / [CO1]
7. Why is maintaining adequate working capital important? [K] / [CO3]
8. State any two factors affecting financial planning. [U] / [CO2]
9. Define Fund Flow Statement. [A] / [CO4]
10. How does a Financial Manager manage working capital? [A] / [CO1]

11. State any two objectives of capital budgeting. [U] / [CO3]

12. State any two disadvantages of financial leverage. [U] / [CO2]

[2x10 = 20]

Part B

Short Essay

Answer any **6** questions

Each question carries **5** marks

13. Explain how financial goals support long-term growth and sustainability of a business. [A] / [CO1]

14. Explain how business growth and expansion affect working capital. [An] / [CO3]

15. Explain how mismanagement can lead to over or under-capitalization. [An] / [CO2]

16. Explain the meaning and importance of CVP analysis. [An] / [CO4]

17. Discuss the remedies for overcapitalization. [U] / [CO2]

18. Discuss capital structure decisions as an important area in Financial Management. [An] / [CO1]

19. Explain the factors influencing capital investment decisions. [U] / [CO3]

20. Explain the meaning and definition of Capital Structure. [A] / [CO2]

[5x6 = 30]

Part C

Essay

Answer any **2** questions

Each question carries **10** marks

21. Explain the importance of Financial Management in modern business and discuss how it helps in achieving organizational goals. [An] / [CO1]

22. Discuss in detail the meaning, nature, and significance of capital investment in fixed assets. [A] / [CO3]

23. Define Capital and explain its characteristics, types, and importance in business and economic development. [A] / [CO2]

[10x2 = 20]